

Change in Control

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Application and Definitions

1.1

1. (1) Unless otherwise stated, this Part applies to every firm except:

1. (a) [deleted.]

2. (b) a non-directive friendly society ; and

3. (c) a UK ISPV.

2. (2) Chapter 5 (Annual Controllers Report)") does not apply to a credit union.

3. (3) The PRA directs that Chapter 2 (Obligations on Controllers)") applies to persons required to give to the PRA a section 178 notice or a notice under section 191D of FSMA.

1.2

In this Part, the following definitions shall apply:

acquiring control

has the meaning given in section 181 of FSMA , read in conjunction with the Exemption Order.

Annual Controllers Report

means the report in the form approved by the PRA and made available on the PRA's website.

ceasing to have control

has the meaning given in section 183(3) of FSMA , read in conjunction with the Exemption Order.

change in control

means any situation amounting to acquiring control , ceasing to have control , increasing control , or reducing control.

controller

has the meaning given in section 422 of FSMA , read in conjunction with the Exemption Order.

Controller's Form

means the relevant form approved by the PRA and made available on the PRA's website.

Exemption Order

means the Financial Services and Markets Act 2000 (Controllors) (Exemption) Order 2009 (SI 2009/774).

increasing control

has the meaning given in section 182 of FSMA, read in conjunction with the Exemption Order.

investment manager

has the meaning given in the FCA Handbook from time to time other than for the purposes of the part of the FCA Handbook in Specialist sourcebooks that has the title Listing Rules.

reducing control

has the meaning given in section 183(1) and (2) of FSMA, read in conjunction with the Exemption Order.

section 178 notice

has the meaning given in section 178(3) of FSMA.

UK domestic firm

means a firm that has its registered office (or, if it has no registered office, its head office) in the United Kingdom.

2

Obligations on Controllors and Proposed Controllors

2.1

The PRA directs that a section 178 notice submitted to the PRA in accordance with section 178(1) of FSMA must contain the information and be accompanied by such documents as are required by the Controller's Form approved for the relevant application.

2.2

1. (1) The PRA directs that a person who has submitted a section 178 notice must notify the PRA immediately if the person becomes aware, or has information which reasonably suggests, that the person has or may have provided the PRA with information which was or may have been false, misleading, incomplete or inaccurate, or has or may have changed in a material particular.

2. (2) The notification must include:

1. (a) details of the information which is or may be false, misleading, incomplete or inaccurate, or has or may have changed;

2. (b) an explanation of why such information was or may have been provided; and

3. (c) the correct information.

3. (3) If the information in (2)(c) is not immediately available for submission with the section 178 notice, the PRA directs that the information must instead be submitted as soon as possible.

4. (4) The requirement in (1) ceases if the change in control occurs or will not take place.

2.3

The PRA directs that a notice under section 191D of FSMA must provide details of the extent of control (if any) that the controller will have following the change in control.

2.4

Where a _controller_ or proposed _controller_ that is an _investment manager_ is complying with the directions in 2.1 and 2.3 in connection with the acquiring or disposal of listed shares in the course its fund management activity, the _PRA_ directs that it may use the _Controller's form_ at 6.5.

3

Obligations on Firms

3.1

A _UK domestic firm_, other than a _non-directive firm_ or a _building society_, must notify the _PRA_ of:

1. (1) a _person_ _acquiring control_ over the _firm_ ;
2. (2) an existing _controller_ _increasing control_ over the _firm_ ;
3. (3) an existing _controller_ _reducing control_ over the _firm_ ; or
4. (4) an existing _controller_ _ceasing to have control_ over the _firm_.

3.2

A _building society_ or a _non-directive firm_ must notify the _PRA_ of:

1. (1) a _person_ _acquiring control_ over the _firm_ ; or
2. (2) an existing _controller_ _ceasing to have control_ over the _firm_

unless that _person's_ _acquiring_ or _ceasing to have control_ is exempt from the notification requirement in sections 178 or 191D of _FSMA_ by virtue of the _Exemption Order_.

3.3

An _overseas firm_ must notify the _PRA_ of:

1. (1) a _person_ _acquiring control_ over the _firm_ ;
2. (2) an existing _controller_ _increasing control_ over the _firm_ ;
3. (3) an existing _controller_ _reducing control_ over the _firm_ ; or
4. (4) an existing _controller_ _ceasing to have control_ over the _firm_.

3.4

The notifications in 3.1 to 3.3 must:

1. (1) be made:
 1. (a) as soon as the _firm_ becomes aware that a _person_, whether alone or acting in concert, has decided to _acquire control_, to _increase control_ or to _reduce control_ ; or
 2. (b) if the _change in control_ takes place without the knowledge of the _firm_, within 14 days of the _firm_ becoming aware of the _change in control_ concerned;
2. (2) in relation to _acquiring control_ or _increasing control_, contain as much of the following information as the _firm_ is able to provide, having made reasonable enquiries from _persons_ and other sources as appropriate:
 1. (a) the name of the _firm_ ;
 2. (b) the name of the _controller_ or proposed _controller_ and, if it is a body corporate and is not an authorised person, the names of its directors and its _controllers_ ;
 3. (c) a description of the proposed event including the shareholding and voting power of the _person_ concerned, both before and after the _change in control_ ; and

4. (d) any other information of which the _PRA_ would reasonably expect notice;
3. (3) in relation to a _reducing control_ , contain the following:
 1. (a) the name of the _controller_ ; and
 2. (b) details of the extent of control (if any) which the _controller_ will have following the reduction in _control_.

3.6

1. (1) A _UK domestic firm_ must notify the _PRA_ immediately if, in the period between a _section 178 notice_ being submitted and the occurrence of the _change in control_ , the _firm_ becomes aware, or has information which reasonably suggests, that the _person_ submitting the notice has or may have provided the _PRA_ with information which was or may have been false, misleading, incomplete or inaccurate, or has or may have changed in a material particular.
2. (2) The notification must include:
 1. (a) details of the information which is or may be false, misleading, incomplete or inaccurate, or has or may have changed;
 2. (b) an explanation why such information was or may have been provided; and
 3. (c) the correct information.

If the information in (2)(c) is not immediately available for submission with the notification, the information must instead be submitted as soon as possible.

3.7

During the period referred to in 3.6, a _UK domestic firm_ must take reasonable steps to keep itself informed about the circumstances of the _controller_ or the proposed _controller_ to which the notification related.

3.8

A _firm_ must notify the _PRA_ :

1. (1) when a _change in control_ which was previously notified under 3.1 to 3.3 has taken place; or
2. (2) if the _firm_ has grounds for reasonably believing that the event will not now take place.

3.9

The notification under 3.8 must be given within 14 days of the _change in control_ or of having the grounds (as applicable).

4

Ongoing Notification Requirements

4.1

A _firm_ must notify the _PRA_ as soon as it becomes aware of any of the following matters in respect of one or more of its _controllers_ :

1. (1) if a _controller_ , or any entity subject to their _control_ , is or has been the subject of any legal action or investigation which might put into question the integrity of the _controller_ ;
2. (2) if there is a significant deterioration in the financial position of a _controller_ ;
3. (3) if a corporate _controller_ undergoes a substantial change or series of changes in its _governing body_.
4. (4) [deleted.]

4.2

A firm must take reasonable steps to keep itself informed about controllers , including if applicable:

1. (1) monitoring its register of shareholders (or equivalent);
2. (2) monitoring notifications to the firm in accordance with Part 22 of the Companies Act 2006;
3. (3) monitoring public announcements made under the relevant disclosure provisions of the Takeover Code or other rules made by the Takeover Panel;
4. (4) monitoring the entitlement of delegates, or persons with voting rights in respect of group insurance contracts, to exercise or control voting power at general meetings.

5

Annual Controllers Report

5.1

A firm must submit (or procure that another firm in its group submits) to the PRA , by electronic means, a completed Annual Controllers Report , within four months of the firm's accounting reference date .

Exemptions

5.2

A mutual or a building society is only required to submit a report under 5.1 if it is aware that it has a controller .

5.3

In relation to a building society , a controller does not include a person who is exempt from the obligation to notify a change in control under the Exemption Order .

5.4

An insurer need not submit a report under 5.1 to the extent that the information has already been provided to the PRA under IPRU(INS) 9.30 R (Additional information on controllers).

6

Forms

6.1

[Deleted.]

6.2

[Deleted.]

6.3

[Deleted.]

6.4

[Deleted.]

6.5

[Deleted.]

6.6

[Deleted.]